SECURITIES AND EXCHANGE COMMISSION

17 CFR Part 275

[Release No. IA-6383; File No. S7-03-22]

RIN 3235-AN07

Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission ("Commission" or "SEC") is adopting new rules under the Investment Advisers Act of 1940 ("Advisers Act" or "Act"). The rules are designed to protect investors who directly or indirectly invest in private funds by increasing visibility into certain practices involving compensation schemes, sales practices, and conflicts of interest through disclosure; establishing requirements to address such practices that have the potential to lead to investor harm; and restricting practices that are contrary to the public interest and the protection of investors. These rules are likewise designed to prevent fraud, deception, or manipulation by the investment advisers to those funds. Specifically, the new rules require registered investment advisers to private funds to provide transparency to their investors regarding the fees and expenses and other terms of their relationship with private fund advisers and the performance of such private funds. The new rules also require a registered private fund adviser to obtain an annual financial statement audit of each private fund it advises and, in connection with an adviser-led secondary transaction, a fairness opinion or valuation opinion from an independent opinion provider. In addition, the new rules restrict all private fund advisers, including those that are not registered with the Commission, from engaging in certain

activities unless they provide specified disclosure to and, for certain restricted activities, obtain consent from investors. All private fund advisers are also prohibited from providing certain types of preferential treatment that would have a material, negative effect on other investors, subject to certain exceptions; and other types of preferential treatment to any investor in a private fund, unless the adviser satisfies certain disclosure obligations. The Commission is adopting corresponding amendments to the Advisers Act books and records rule to facilitate compliance with these new rules and assist our examination staff. Finally, the Commission is adopting amendments to the Advisers Act compliance rule, which affect all registered investment advisers, to better enable our staff to conduct examinations.

DATES: *Effective date:* These rules are effective [INSERT DATE 60 DAYS AFTER DATE OF PUBLICATION IN THE FEDERAL REGISTER].

Compliance date: See Section IV.

Comments due date: Comments regarding the collection of information requirements within the meaning of the Paperwork Reduction Act of 1995 should be received on or before [INSERT DATE 30 DAYS AFTER DATE OF PUBLICATION IN THE FEDERAL REGISTER].

FOR FURTHER INFORMATION CONTACT: Shane Cox, Robert Holowka, and Neema Nassiri, Senior Counsels; Tom Strumpf, Branch Chief; Adele Murray, Private Funds Attorney Fellow; Melissa Roverts Harke, Assistant Director, Investment Adviser Rulemaking Office; or Marc Mehrespand, Branch Chief, Chief Counsel's Office, at (202) 551- 6787 or IArules@sec.gov, Division of Investment Management, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-8549.

SUPPLEMENTARY INFORMATION: The Securities and Exchange Commission is adopting rule 17 CFR 275.206(4)-10 (final rule 206(4)-10), 17 CFR 275.211(h)(1)-1 (final rule

211(h)(1)-1), 17 CFR 275.211(h)(1)-2 (final rule 211(h)(1)-2), 17 CFR 275.211(h)(2)-1 (final rule 211(h)(2)-1), 17 CFR 275.211(h)(2)-2 (final rule 211(h)(2)-2), and 17 CFR 275.211(h)(2)-3 (final rule 211(h)(2)-3) under the Investment Advisers Act of 1940 [15 U.S.C. 80b-1 *et seq*.] ("Advisers Act");[1] and amendments to 17 CFR 275.204-2 (final amended rule 204-2) and 17 CFR 275.206(4)-7 (final amended rule 206(4)-7) under the Advisers Act.

TABLE OF CONTENTS

I. Introduction 7
- A. Risks and Harms to Investors 16
- B. Rules to Address These Risks and Harms 20
- C. The Commission Has Authority to Adopt the Rules 28

II. Discussion of Rules for Private Fund Advisers 45
- A. Scope of Advisers Subject to the Final Private Fund Adviser Rules 45
- B. Quarterly Statements 60
  1. Fee and Expense Disclosure 74
  2. Performance Disclosure 104
  3. Preparation and Distribution of Quarterly Statements 145
  4. Consolidated Reporting for Certain Fund Structures 153
  5. Format and Content Requirements 156
  6. Recordkeeping for Quarterly Statements 159
- C. Mandatory Private Fund Adviser Audits 161
  1. Requirements for Accountants Performing Private Fund Audits 173
  2. Auditing Standards for Financial Statements 175
  3. Preparation of Audited Financial Statements 176
  4. Distribution of Audited Financial Statements 178
  5. Annual Audit, Liquidation Audit, and Audit Period Lengths 180
  6. Commission Notification 183
  7. Taking All Reasonable Steps to Cause an Audit 184
  8. Recordkeeping Provisions Related to the Audit Rule 185
- D. Adviser-Led Secondaries 186

[1] Unless otherwise noted, when we refer to the Advisers Act, or any section of the Advisers Act, we are referring to 15 U.S.C. 80b, at which the Advisers Act is codified. When we refer to rules under the Advisers Act, or any section of those rules, we are referring to title 17, part 275 of the Code of Federal Regulations [17 CFR part 275], in which these rules are published.

1. Definition of Adviser-led Secondary Transaction 191
2. Fairness Opinion or Valuation Opinion 195
3. Summary of Material Business Relationships 201
4. Distribution of the Opinion and Summary of Material Business Relationships 202
5. Recordkeeping for Adviser-Led Secondaries 204
E. Restricted Activities 205
1. Restricted Activities with Disclosure-Based Exceptions 212
a) Regulatory, Compliance, and Examination Expenses 212
b) Reducing Adviser Clawbacks for Taxes 218
c) Certain Non-Pro Rata Fee and Expense Allocations 224
2. Restricted Activities with Certain Investor Consent Exceptions 236
a) Investigation Expenses 236
b) Borrowing 243
F. Certain Adviser Misconduct 251
1. Fees for Unperformed Services 251
2. Limiting or Eliminating Liability 256
G. Preferential Treatment 261
1. Prohibited Preferential Redemptions 274
2. Prohibited Preferential Transparency 280
3. Similar Pool of Assets 286
4. Other Preferential Treatment and Disclosure of Preferential Treatment 290
5. Delivery 298
6. Recordkeeping for Preferential Treatment 300
III. Discussion of Written Documentation of All Advisers' Annual Reviews of Compliance Programs 302
IV. Transition Period, Compliance Date, Legacy Status 308
V. Other Matters 320
VI. Economic Analysis 320
A. Introduction 320
B. Broad Economic Considerations 321
C. Economic Baseline 350
1. Industry Statistics and Affected Parties 351
2. Sales Practices, Compensation Arrangements, and Other Business Practices of Private Fund Advisers 364
3. Private Fund Adviser Fee, Expense, and Performance Disclosure Practices 379
4. Fund Audits, Fairness Opinions, and Valuation Opinions 401
5. Books and Records 415
6. Documentation of Annual Review Under the Compliance Rule 415
D. Benefits and Costs 417
1. Overview 417

2. Quarterly Statements 427
3. Restricted Activities 458
4. Preferential Treatment 497
5. Mandatory Private Fund Adviser Audits 518
6. Adviser-Led Secondaries 534
7. Written Documentation of All Advisers' Annual Review of Compliance Programs 543
8. Recordkeeping 546
E. Effects on Efficiency, Competition, and Capital Formation 548
1. Efficiency 548
2. Competition 554
3. Capital Formation 562
F. Alternatives Considered 569
1. Alternatives to the Requirement for Private Fund Advisers to Obtain an Annual Audit 569
2. Alternatives to the Requirement to Distribute a Quarterly Statement to Investors Disclosing Certain Information Regarding Costs and Performance 572
3. Alternative to the Required Manner of Preparing and Distributing Quarterly Statements and Audited Financial Statements 580
4. Alternatives to the Restrictions from Engaging in Certain Sales Practices, Conflicts of Interest, and Compensation Schemes 582
5. Alternatives to the Requirement that an Adviser to Obtain a Fairness Opinion or Valuation Opinion in Connection with Certain Adviser-Led Secondary Transactions 585
6. Alternatives to the Prohibition from Providing Certain Preferential Terms and Requirement to Disclose All Preferential Treatment 587
VII. Paperwork Reduction Act 590
A. Introduction 590
B. Quarterly Statements 592
C. Mandatory Private Fund Adviser Audits 597
D. Restricted Activities 600
E. Adviser-Led Secondaries 604
F. Preferential Treatment 607
G. Written Documentation of Adviser's Annual Review of Compliance Program 611
H. Recordkeeping 613
I. Request for Comment Regarding Rule 211(h)(2)-1 618
VIII. Final Regulatory Flexibility Analysis 619
A. Reasons for and Objectives of the Final Rules and Rule Amendments 620
1. Final rule 211(h)(1)-1 620
2. Final rule 211(h)(1)-2 620

3. Final rule 206(4)-10 621
4. Final rule 211(h)(2)-1 621
5. Final rule 211(h)(2)-2 623
6. Final rule 211(h)(2)-3 623
7. Final amendments to rule 204-2 625
8. Final amendments to rule 206(4)-7 625
B. Significant Issues Raised by Public Comments 626
C. Legal Basis 630
D. Small Entities Subject to Rules 630
E. Projected Reporting, Recordkeeping, and other Compliance Requirements 633
1. Final rule 211(h)(1)-1 633
2. Final rule 211(h)(1)-2 633
3. Final rule 206(4)-10 634
4. Final rule 211(h)(2)-1 635
5. Final rule 211(h)(2)-2 637
6. Final rule 211(h)(2)-3 638
7. Final amendments to rule 204-2 640
8. Final amendments to rule 206(4)-7 641
F. Significant Alternatives 642
Statutory Authority 643

I. INTRODUCTION

The Commission oversees private fund advisers, many of which are registered with the SEC or report to the SEC as exempt reporting advisers. Despite the Commission's examination and enforcement efforts with respect to private fund advisers, such advisers continue to engage in certain practices that may impose significant risks and harms on investors and private funds. Consequently, there is a compelling need for the Commission to exercise its congressional authority for the protection of investors.[2] Based on the Commission's extensive experience overseeing private fund advisers, the Commission is adopting carefully tailored rules to address the risks and harms to investors and funds, while promoting efficiency, competition, and capital formation.[3]

Background

Private funds are privately offered investment vehicles that pool capital from one or more investors and invest in securities and other instruments or investments.[4] Each investor in a

---

[2] *See infra* section I.C.

[3] *See infra* section VI.E. *See also* Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews, Investment Advisers Act Release No. 5955 (Feb. 9, 2022) [87 FR 16886 (Mar. 24, 2022)] ("Proposing Release"); Reopening of Comment Periods for "Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews" and "Amendments Regarding the Definition of 'Exchange' and Alternative Trading Systems (ATSs) That Trade U.S. Treasury and Agency Securities, National Market System (NMS) Stocks, and Other Securities," Investment Advisers Act Release No. 6018 (May 9, 2022) [87 FR 29059 (May 12, 2022)]; Resubmission of Comments and Reopening of Comment Periods for Certain Rulemaking Releases, Investment Advisers Act Release No. 6162 (Oct. 7, 2022) [87 FR 63016 (Oct. 18, 2022)]. The Commission voted to issue the Proposing Release on Feb. 9, 2022. The release was posted on the Commission website that day, and comment letters were received beginning that same date. The comment period closed on Nov. 1, 2022. We have considered all comments received since Feb. 9, 2022.

[4] Section 202(a)(29) of the Advisers Act defines the term "private fund" as an issuer that would be an investment company, as defined in section 3 of the Investment Company Act of 1940 (15 U.S.C. 80a-3) ("Investment Company Act"), but for section 3(c)(1) or 3(c)(7) of that Act. We use "private fund" and "fund" interchangeably throughout this release. Securitized asset funds are excluded from the term "private funds" for purposes hereof, unless stated otherwise. *See infra* section II.A (Scope of Advisers Subject to the Final Private Fund Adviser Rules) for a discussion of the application of the final rules to securitized asset funds.

private fund invests by purchasing securities (which are generally issued by the fund in the form of interests or shares) and then participates in the fund through the securities that it holds. Private funds are generally advised by investment advisers that are subject to a Federal fiduciary duty as well as the antifraud and other provisions of the Act.[5] A private fund adviser, which often has broad discretion to provide investment advisory services to the fund, uses the money contributed by investors to make investments on behalf of the fund.

Congress expanded the Commission's role overseeing private fund advisers and their relationship with private funds and their investors in the wake of the 2007-2008 financial crisis, when it passed, and the President signed, the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010 ("Dodd-Frank Act"). While the antifraud provisions of section 206 already applied to private fund advisers and the Commission already had brought enforcement actions against private fund advisers before the enactment of the Dodd-Frank Act, Congress increased the Commission's oversight responsibility of private fund advisers. Among other things, Congress amended the Advisers Act generally to require advisers to private funds to register with the Commission and to authorize the Commission to establish reporting and recordkeeping requirements for advisers to private funds for investor protection and systemic risk purposes.[6] Specifically, Title IV of the Dodd-Frank Act repealed an exemption from registration contained in section 203(b)(3) of the Advisers Act—known as the "private adviser exemption"—on which many private fund advisers, including those to private equity funds,

---

5 *See, e.g.*, Commission Interpretation Regarding Standard of Conduct for Investment Advisers, Investment Advisers Act Release No. 5248 (June 5, 2019) [84 FR 33669 (July 12, 2019)] ("2019 IA Fiduciary Duty Interpretation").

6 Dodd-Frank Wall Street Reform and Consumer Protection Act, Pub. L. 111-203, §§ 403, 404, 124 Stat, 1378, 1571-72 (Jul. 2010), codified at 15 U.S.C. 80b-4(b).

hedge funds, and venture capital funds,[7] had relied.[8] In addition to eliminating this provision, Congress directed the Commission to adopt more limited exemptions for advisers that solely advise private funds, if the adviser has assets under management in the United States of less than $150 million, or that solely advise venture capital funds.[9] Section 203(b)(3) of the Act, as amended by the Dodd-Frank Act, also provides an exemption from registration for certain foreign private advisers. As a result, private fund advisers outside of these narrow exemptions became subject to the same regulatory oversight and other Advisers Act requirements that apply to other SEC-registered investment advisers.

Increasing Importance of Private Funds and Their Advisers to Investors

Investment advisers' private fund assets under management have steadily increased over the past decade, growing from $9.8 trillion in 2012 to $26.6 trillion in 2022.[10] Similarly, the number of private funds has increased from 31,717 in 2012 to 100,947 in 2022.[11] Additionally, private funds and their advisers play an increasingly important role in the lives of millions of Americans planning for retirement.[12] While private funds typically issue their securities only to

---

7 Private equity funds, hedge funds, and venture capital funds are further described below.

8 *See* Dodd-Frank Act, section 403.

9 *See* Dodd-Frank Act, sections 407 and 408; Exemptions for Advisers to Venture Capital Funds, Private Fund Advisers With Less Than $150 Million in Assets Under Management, and Foreign Private Advisers, Investment Advisers Act Release No. 3222 (June 22, 2011) [76 FR 39645 (July 6, 2011)] ("Exemptions Adopting Release"). The Dodd-Frank Act also provided the Commission with the ability to require the limited number of advisers to private funds that did not have to register to file reports about their business activities.

10 *See* Form ADV data (inclusive of assets attributable to securitized asset funds).

11 *Id.* (inclusive of securitized asset funds).

12 *See* Division of Investment Management: Analytics Office, Private Funds Statistics Report: Third Calendar Quarter 2022 (April 6, 2023) ("Form PF Statistics Report"), at 15, *available at* https://www.sec.gov/files/investment/private-funds-statistics-2022-q3.pdf (showing beneficial ownership of all funds by category as reported on Form PF). *See also, e.g.,* Public Investors, Private Funds, and State Law, Baylor Law Review, Professor William Clayton (June 15, 2020), at 354 ("Professor Clayton Public

certain qualified investors, such as institutions and high net worth individuals, individuals have indirect exposure to private funds through those individuals' participation in public and private pension plans, endowments, foundations, and certain other retirement plans, which all invest directly in private funds. For example, public service workers, including law enforcement officers, firefighters, public school educators and community service workers, participate in these retirement plans and other vehicles and thus have exposure to private funds. Many pension plans, endowments, and non-profits invest in private funds to meet their internal return targets, to diversify their holdings, and to provide retirement security or other benefits for their stakeholders.[13] In particular, public pension plans face a stark funding gap[14] and many have turned to private funds in an attempt to address underfunding problems.[15] As a result, the 26.7 million working and retired U.S. public pension plan beneficiaries are more likely to have

---

Investors Article") (stating that public pension plans have dramatically increased their investment in private funds).

13 *See* Form PF Statistics Report, *supra* at footnote 12. *See also, e.g.*, Comment Letter of Healthy Markets Association (Apr. 15, 2022) ("Healthy Markets Comment Letter I") (discussing the growing number of private funds and increasing allocations that public pension plans and endowments are making to private funds); Comment Letter of Better Markets, Inc. (Apr. 25, 2022) ("Better Markets Comment Letter") (discussing the growth of the private markets and the exposure of millions of Americans to the private markets, including through pension plans). The comment letters on the Proposing Release are available at https://www.sec.gov/comments/s7-03-22/s70322.htm.

14 States on average have less than 70% of the assets needed to fund their pension liabilities with that figure for some states reaching as low as 34%. *See, e.g.*, Professor Clayton Public Investors Article, *supra* footnote 12; Sarah Krouse, *The Pension Hole for U.S. Cities and States is the Size of Germany's Economy*, Wall Street J. (July 30, 2018), *available at* https://www.wsj.com/articles/the-pension-hole-for-u-s-cities-and-states-is-the-size-of-japans-economy-1532972501; PEW CHARITABLE TRUSTS, ISSUE BRIEF, THE STATE PENSION FUNDING GAP: 2017 (June 27, 2019), *available at* https://www.pewtrusts.org/en/research-and-analysis/issue-briefs/2019/06/the-state-pension-funding-gap-2017.

15 *See, e.g.*, Healthy Markets Comment Letter I; UBS Wealth Management USA, US Economy: Public Pension Plans Tilt Toward Alternatives (Jan. 12, 2023), *available at* https://www.ubs.com/us/en/wealth-management/insights/market-news/article.1582725.html (discussing State and local pension funds' increasing allocation to private funds over last two decades).